

HOUSE BILL 842

By Crawford

AN ACT to amend Tennessee Code Annotated, Section
67-4-409, relative to taxes on transfers of realty.

WHEREAS, for many years, this State has imposed a tax of \$0.37 per \$100 of value for the privilege of publicly recording documents evidencing all transfers of realty, whether by deed, court deed, decree, partition deed, or other instrument evidencing transfer of any interest in real estate; and

WHEREAS, although this tax is collected locally, it is currently remitted to the State, and the revenue is not made available for use by local officials to address needs in the community where the tax is collected; and

WHEREAS, county governments have few revenue options available to them for funding the many crucial governmental services mandated by state law and are therefore largely dependent upon property tax to fund these services; and

WHEREAS, county governments have been fiscally disciplined, allowing Tennessee to remain a low property tax burden state; however, county budgets are increasingly strained by factors such as inflation, challenges in recruiting and retaining qualified staff, and requirements to meet state mandates like increasing teacher compensation; and

WHEREAS, many counties are experiencing rapid population growth as families are choosing to move to Tennessee and settle in its communities, adding to the demand for county services and infrastructure which are necessary to maintain the quality of life all Tennesseans expect and deserve; and

WHEREAS, as the State continues to experience revenue collections in excess of budgeted estimates, allocating one-half of the real estate transfer tax on a recurring basis to the

county where collected would take pressure off local property taxes and allow for investment in infrastructure and services without unduly burdening state finances and without increasing the rate of this tax; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-4-409(d), is amended by adding the following as a new subdivision:

(4) Notwithstanding another law and except for commissions and fees retained as otherwise provided in subdivisions (d)(2) and (3), and except for the credit of realty transfer tax revenues to specific accounts or funds in accordance with subsections (g), (i), (j), (l), and (m), the department shall remit back to each county, respectively, fifty percent (50%) of the recordation taxes on the transfer of realty levied under subsection (a) that are collected by county registers and remitted to the department, based on the total amount of such taxes remitted to the department by county.

SECTION 2. This act takes effect July 1, 2025, and applies to transfers of real property on or after such date, the public welfare requiring it.